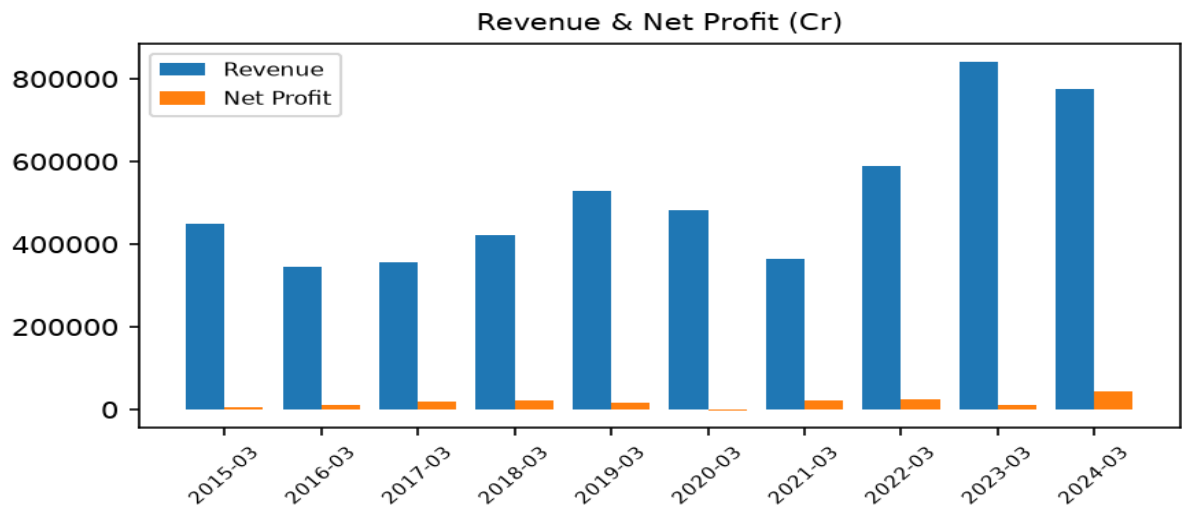


Indian Oil Corporation (IOC)

ROE 23.5%	ROCE 18.9%	Net Profit Margin 5.6%
D/E 0.7	Revenue CAGR 5yr 8.0%	Free Cash Flow (Cr) 39635.0

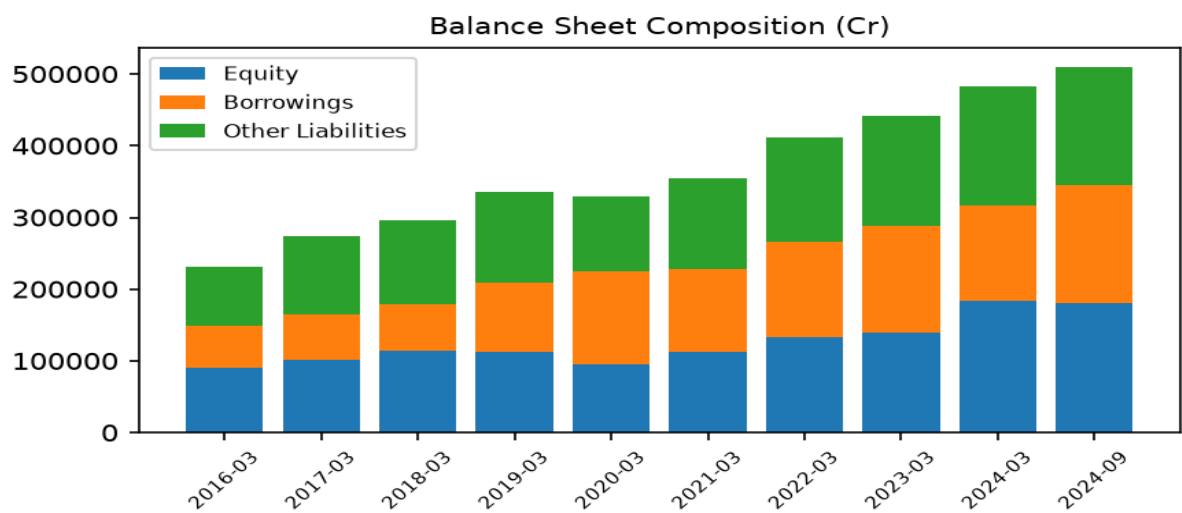
Revenue & Net Profit (10yr)



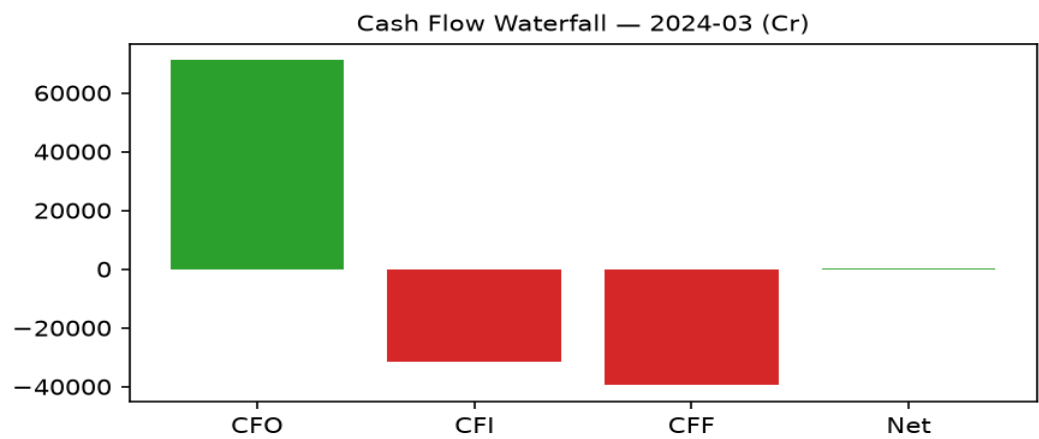
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Return on equity of 23.5% reflects the company's baseline capital efficiency.

Cons

- ✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss

Capital Allocation: Shareholder Returns